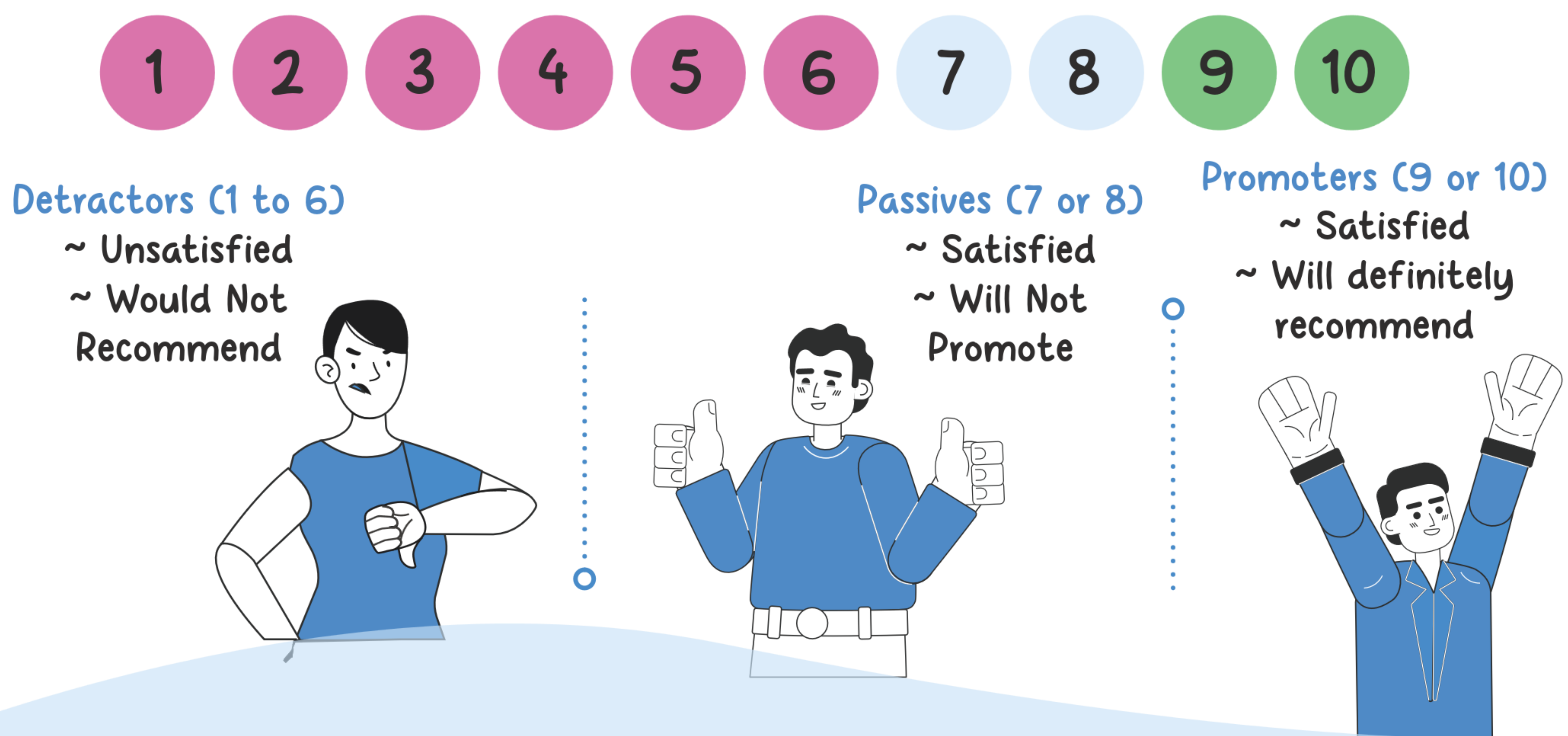


2. Net Promoter Score

The Net Promoter Score (NPS) is a simple yet effective metric to check customer loyalty and satisfaction. It is based on a single question: “**How likely are you to recommend our product or service to a friend or colleague?**” Customers are asked to rate on a scale of 1 to 10. It correlates with business growth. It provides actionable insights into areas for improvement and helps prioritise efforts to improve the customer experience.



NPS categorises customers into three groups based on their responses:

- ➡ **Promoters (score 9-10)**: Enthusiastic customers who are highly satisfied and likely to recommend your product or service.
- ➡ **Passives (score 7-8)**: Satisfied but indifferent customers who may not actively promote or criticize your offering.
- ➡ **Detractors (score 1-6)**: Unhappy customers who are dissatisfied and may discourage others from using your product or service.



How to Calculate the NPS Score?

Subtract the percentage of detractors from the percentage of promoters.

$$\text{Detractors} - \text{Promoters} = \text{NPS Score}$$

